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with Segece India: "The Indian retail real estate market is only a decade old and during the course it has seen the worst phase already. The conceptualisation of a shopping centre is not like a residential or commercial towers hence professional assistance is essential, which was missing in all these unsuccessful projects. Other attributes like multiple floors, high vacancy rate, unviable location and poor commercialisation have also contributed in this catastrophic story."

Empty malls are a phenomenon that plagues most Indian cities. Of the 200-odd malls that have mushroomed in the last five years, a majority are grappling with high vacancies and low footfalls. Some have shut shop and others are converting themselves into commercial spaces. DLF's Star Mall and DT Mega Mall in Gurgaon are classic examples of a business plan gone wrong. While DLF's Star Mall has been lying completely vacant for want of retailers, sev-

eral have walked out of the DT Mall due to poor customer traffic.

A few years ago, the sector attracted new players like Indiabulls, the Zee Group, Action Shoes and Odeon Builders. In 2007, Indiabulls announced its foray into the retail business with its acquisition of Piramal's Pyramid Retail, which later became Indiabulls Retail Services. The group acquired 14 sites across 16 cities to build malls, multiplexes and hypermarkets. Due to cheaper land prices in smaller cities, developers launched mall projects mindlessly. These "boom towns" are now giving nightmares to mall developers.

With the fifth highest household income among Indian cities, Ahmedabad should have been a dream destination for retailers, but the biggest retailers have burnt their fingers in this city as most malls are devoid of buyers. It isn't as though Gujaratis don't spend on consumer items. Luxury carmaker Audi

Over 6.57 million sq ft of mall space is lying vacant in India across 8 top cities

Post meltdown, retail sales dropped by 11% and rentals by over 40%

RETAIL CHECK

Luxury retail has not lived up to the expectations of mall owners and is seen as an overhyped segment in India.

Organised food and beverage retail is challenged by the home delivery system of neighbourhood stores in most cities.

Unlike in the West the Indian psyche has not accepted the concept of malls located on highways.

Once boom towns, Tier-II cities are now witnessing an oversupply which spells further disaster.

Globally discount malls are located outside the city. But in India consumers prefer to look for discount deals within the city.

Value for money is the driving force for Indians.